

Term Sheet: Structured Financial Instrument

Issuer: XYZ Bank

Series Number: NX000255417

Currency: USD

Aggregate Nominal Amount: \$5,000,000

Issue Date: 2025-04-10

Maturity Date: 2030-04-10

Payoff Structure

- Initial Level: \$100
- Market Level (at Maturity): \$120
- Stock Level: \$110
- Payoff Calculation:
 - If Market Level > Initial Level: Investor receives principal + gains.
 - If Market Level < Initial Level: Investor receives reduced payout based on stock performance.
 - If Knock-In Barrier is breached, a predefined formula applies.

Business Calendars & Market Norms

- Business Day Convention: Following Business Day
- Settlement Calendar: New York & London
- Market Holidays Considered: US Stock Exchange Holidays
- Day Count Fraction: Actual/365 Fixed

Payoff for Call Option

- Strike Price: \$105
- Barrier Level: \$95
- Expiration Date: 2030-04-10
- Settlement Method: Cash Settlement
- Final Payoff Formula:
 - If Stock Price > Strike Price:

- $\text{Payoff} = (\text{Stock Price} - \text{Strike Price}) * \text{Number of Options}$
- If $\text{Stock Price} < \text{Strike Price}$:
 - No payoff (option expires worthless)

Market Level Determination

- Reference Asset: S&P 500 Index
- Observation Dates: Quarterly Evaluation
- Volatility Consideration: Adjusted based on 30-day historical average
- Interest Rate Impact: Based on prevailing 10-year Treasury yield

Risk Considerations

- Potential loss in case of significant market downturns.
- Liquidity risks based on market trading conditions.
- Currency risks if invested from a non-USD base currency.

Disclaimer: This term sheet is for informational purposes only and does not constitute financial advice. Investors should review full prospectus before investing.